

1 AN ACT relating to pari-mutuel wagering.

2 ***Be it enacted by the General Assembly of the Commonwealth of Kentucky:***

3 ➔Section 1. KRS 230.210 is amended to read as follows:

4 As used in this chapter, unless the context requires otherwise:

- 5 (1) "Advance deposit account wagering" means a form of pari-mutuel wagering in
6 which an individual may establish an account with a person or entity licensed by the
7 corporation, and may place a pari-mutuel wager through that account that is
8 permitted by law;
- 9 (2) "Advance deposit account wagering licensee" means a person or entity licensed by
10 the corporation to conduct advance deposit account wagering and accept deposits
11 and wagers, issue a receipt or other confirmation to the account holder evidencing
12 such deposits and wagers, and transfer credits and debits to and from accounts;
- 13 (3) "Amateur youth sporting event" means any sporting event in which an individual:
14 (a) Shall be less than eighteen (18) years of age to participate; and
15 (b) Is prohibited, as a condition of participating in the sporting event, from
16 receiving direct or indirect compensation for the use of the individual's
17 athletic skill in any manner with respect to the sport in which the particular
18 sporting event is conducted;
- 19 (4) "Appaloosa race" or "Appaloosa racing" means that form of horse racing in which
20 each horse participating in the race is registered with the Appaloosa Horse Club of
21 Moscow, Idaho, and is mounted by a jockey;
- 22 (5) "Arabian" means a horse that is registered with the Arabian Horse Registry of
23 Denver, Colorado;
- 24 (6) "Association" means any person licensed by the Kentucky Horse Racing and
25 Gaming Corporation under KRS 230.300 and engaged in the conduct of a
26 recognized horse race meeting;
- 27 (7) "Charitable gaming" means gaming licensed by the corporation on and after July 1,

- 1 2025, as authorized under this chapter and KRS Chapter 238;
- 2 (8) "Corporation" means the Kentucky Horse Racing and Gaming Corporation;
- 3 (9) "Geofence" means a virtual geographic boundary defined by Global Positioning
4 System (GPS) or Radio Frequency Identification (RFID) technology;
- 5 (10) "Harness race" or "harness racing" means trotting and pacing races of the
6 standardbred horses;
- 7 (11) "Horse race meeting" means horse racing run at an association licensed and
8 regulated by the Kentucky Horse Racing and Gaming Corporation, and may include
9 Thoroughbred, harness, Appaloosa, Arabian, paint, and quarter horse racing;
- 10 (12) "Host track" means the track conducting racing and offering its racing for intertrack
11 wagering, or, in the case of interstate wagering, means the Kentucky track
12 conducting racing and offering simulcasts of races conducted in other states or
13 foreign countries;
- 14 (13) "Interstate wagering" means pari-mutuel wagering on simulcast horse races from a
15 track located in another state or foreign country by patrons at a receiving track or
16 simulcast facility;
- 17 (14) "Intertrack wagering" means pari-mutuel wagering on simulcast horse races from a
18 host track by patrons at a receiving track;
- 19 (15) "Kentucky paint horse, Appaloosa, and Arabian purse fund" means a purse fund
20 established to receive funds as specified in KRS 230.3771 for purse programs
21 established in KRS 230.446 to supplement purses for paint horse, Appaloosa, and
22 Arabian horse races. The purse program shall be administered by the Kentucky
23 Horse Racing and Gaming Corporation;
- 24 (16) "Kentucky quarter horse purse fund" means a purse fund established to receive
25 funds as specified in KRS 230.3771 for purse programs established in KRS 230.407
26 to supplement purses for quarter horse races. The purse program shall be
27 administered by the Kentucky Horse Racing and Gaming Corporation;

- 1 (17) "Kentucky resident" means:
- 2 (a) An individual domiciled within this state;
- 3 (b) An individual who maintains a place of abode in this state and spends, in the
- 4 aggregate, more than one hundred eighty-three (183) days of the calendar year
- 5 in this state; or
- 6 (c) An individual who lists a Kentucky address as his or her principal place of
- 7 residence when applying for an account to participate in advance deposit
- 8 account wagering;
- 9 (18) "Licensed facility for sports wagering" means the designated areas to conduct
- 10 sports wagering for a track licensed to conduct sports wagering pursuant to KRS
- 11 230.811;
- 12 (19) "Licensed premises" means a track or simulcast facility licensed by the corporation
- 13 under this chapter;
- 14 (20) "Paint horse" means a horse registered with the American Paint Horse Association
- 15 of Fort Worth, Texas;
- 16 (21) "Pari-mutuel wagering," "pari-mutuel system of wagering," or "mutuel wagering"
- 17 each means any method of wagering **in which patrons are wagering among**
- 18 **themselves on any aspect of** ~~previously or hereafter approved by the corporation in~~
- 19 ~~which one (1) or more patrons wager on~~ a horse race or races, whether live,
- 20 simulcast, or previously run. **Amounts wagered shall be placed in one (1) or more**
- 21 **designated pari-mutuel pools from which winning wagers are paid out in**
- 22 **proportion to the individual winning wagers, after deductions and adjustments to**
- 23 **the pool are made, as required by statute or authorized by the corporation. Access**
- 24 **to pari-mutuel pools shall be made available to all patrons on equitable terms,**
- 25 **and no patron or class of patrons shall be afforded preferential pricing, rebates,**
- 26 **access, information, technology, latency, or other advantages not uniformly**
- 27 **available to all patrons placing wagers of the same type into the same pari-mutuel**

1 ~~**pool**~~ Wagers shall be placed in one (1) or more wagering pools, and wagers on
2 different races or sets of races may be pooled together. Patrons may establish odds
3 or payouts, and winning patrons share in amounts wagered including any carryover
4 amounts, plus any amounts provided by an association less any deductions required,
5 as approved by the corporation and permitted by law. Pools may be paid out
6 incrementally over time as approved by the corporation];

7 (22) "Person" means an individual, sole proprietorship, partnership, association,
8 fiduciary, corporation, limited liability company, or any other business entity;

9 (23) "President" means the president of the Kentucky Horse Racing and Gaming
10 Corporation, who shall serve as chief executive officer of the corporation;

11 (24) "Principal" means any of the following individuals associated with a partnership,
12 trust, association, limited liability company, or corporation that is licensed to
13 conduct a horse race meeting or an applicant for a license to conduct a horse race
14 meeting:

15 (a) The chairman and all members of the board of directors of a corporation;

16 (b) All partners of a partnership and all participating members of a limited
17 liability company;

18 (c) All trustees and trust beneficiaries of an association;

19 (d) The president or chief executive officer and all other officers, managers, and
20 employees who have policymaking or fiduciary responsibility within the
21 organization;

22 (e) All stockholders or other individuals who own, hold, or control, either directly
23 or indirectly, five percent (5%) or more of stock or financial interest in the
24 collective organization; and

25 (f) Any other employee, agent, guardian, personal representative, or lender or
26 holder of indebtedness who has the power to exercise a significant influence
27 over the applicant's or licensee's operation;

- 1 (25) "Proof of wagers" includes any paper, card, certificate, token, or ticket, which
2 indicates the details of one (1) or more pari-mutuel wagers that were placed and, if
3 such wagers are successful, that winnings are due to the ticket holder from the
4 track;
- 5 (26) "Quarter horse" means a horse that is registered with the American Quarter Horse
6 Association of Amarillo, Texas;
- 7 (27) "Receiving track" means a track where simulcasts are displayed for wagering
8 purposes. A track that submits an application for intertrack wagering shall meet all
9 the regulatory criteria for granting an association license of the same breed as the
10 host track, and shall have a heated and air-conditioned facility that meets all state
11 and local life safety code requirements and seats a number of patrons at least equal
12 to the average daily attendance for intertrack wagering on the requested breed in the
13 county in which the track is located during the immediately preceding calendar
14 year;
- 15 (28) "Simulcast facility" means any facility approved pursuant to KRS 230.380 to
16 simulcast live racing and conduct pari-mutuel wagering on live racing;
- 17 (29) "Simulcasting" means the telecast of live audio and visual signals of horse races for
18 the purpose of pari-mutuel wagering;
- 19 (30) "Sporting event" means an event at which two (2) or more persons participate in
20 athletic contests, or an event that takes place in relation to athletic contests as
21 approved by the corporation, but shall not include horse racing or amateur youth
22 sports or athletic events in which the majority of participants are under the age of
23 eighteen (18) years;
- 24 (31) "Sports governing body" means the organization, league, or association that
25 oversees a sport, prescribes final rules, and enforces codes of conduct with respect
26 to such sport and participants therein;
- 27 (32) "Sports wagering" means the wagering conducted under this chapter on sporting

1 events or portions of sporting events, or on the individual performance statistics of
2 athletes in a sporting event or combination of sporting events, in conformance with
3 federal law and as authorized by the corporation pursuant to this chapter;

4 (33) "Sports wagering device":

5 (a) Means a mechanical, electrical, or computerized contrivance, terminal,
6 device, apparatus, software, piece of equipment, or supply approved by the
7 corporation for conducting sports wagering under this chapter; and

8 (b) Includes a personal computer, mobile device, or other device used in
9 connection with sports wagering not conducted at a licensed facility for sports
10 wagering;

11 (34) "Sports wagering service provider" or "service provider" means a person authorized
12 to conduct or manage sports wagering through an agreement with a track and
13 provide these services at a licensed facility for sports wagering, simulcast facility,
14 or through a website or mobile interface approved by the corporation;

15 (35) "Telephone account wagering" means a form of pari-mutuel wagering where an
16 individual may deposit money in an account at a track and may place a wager by
17 direct telephone call or by communication through other electronic media owned by
18 the holder of the account to the track;

19 (36) "Thoroughbred race" or "Thoroughbred racing" means a form of horse racing in
20 which each horse participating in the race is a Thoroughbred, (i.e., meeting the
21 requirements of and registered with The Jockey Club of New York) and is mounted
22 by a jockey;

23 (37) "Track" means any association duly licensed by the Kentucky Horse Racing and
24 Gaming Corporation to conduct horse racing and includes:

25 (a) For facilities in operation as of 2010, the location and physical plant described
26 in the "Commonwealth of Kentucky Initial/Renewal Application for License
27 to Conduct Live Horse Racing, Simulcasting, and Pari-Mutuel Wagering,"

1 filed for racing to be conducted in 2010;

2 (b) Real property of an association, if the association received or receives
3 approval from the corporation after 2010 for a location at which live racing is
4 to be conducted; or

5 (c) One (1) facility or real property that is:

6 1. Owned, leased, or purchased by an association within a sixty (60) mile
7 radius of the association's racetrack but not contiguous to racetrack
8 premises, upon corporation approval; and

9 2. Not within a sixty (60) mile radius of another licensed track premise
10 where live racing is conducted and not within a forty (40) mile radius of
11 a simulcast facility, unless any affected track or simulcast facility agrees
12 in writing to permit a noncontiguous facility within the protected
13 geographic area;

14 (38) "Unclaimed pari-mutuel winning ticket":

15 (a) Means the proof of wager that would require payment of winnings upon
16 submission to the track, but has been presumed abandoned under KRS
17 230.361; and

18 (b) Includes proof of wagers from live racing and simulcasting; and

19 (39) "Unredeemed pari-mutuel voucher":

20 (a) Means a voucher issued by a licensed track that evidences the value of funds
21 or credits available that a patron may use for placing pari-mutuel wagers on
22 live or previously run horse races, or which the patron may redeem for cash,
23 but has been presumed abandoned under KRS 230.361; and

24 (b) Does not include:

25 1. Any proof of wagers or any other information related to specific wagers
26 placed on live or historical horse racing; or

27 2. Any vouchers that were voluntarily surrendered for donation to charity

1 or similar purposes.